states were Rs 11.95 lakh crore for the financial year 2018–19. The states' share in central taxes (Rs 7.61 lakh crore) thus amounted to 63.68 per cent of total transfers from the Centre to the states.

The Finance Commissions also recommend some specific grants to states. Grants for local bodies, both urban and rural, have been a permanent feature of the Finance Commissions' recommendations after constitutional amendments in the 1980s. For 2018–19 (actuals), the states were provided with grants of Rs 35,064 crore for rural local bodies and Rs 14,400 crore for urban local bodies.

The other significant grant to the states based on the recommendations of the Finance Commissions is the Centre's contribution to state disaster relief funds (SDRFs). The Finance Commissions determine specific amounts of annual contribution to SDRFs for each state for the five years covered by their recommendations. These contributions were made in the ratio of 75:25 by the Centre and states until the Thirteenth Finance Commission. The Fourteenth Finance Commission recommended that the Central government transfer 90 per cent. However, despite accepting this recommendation, the Centre transferred only 75 per cent of the state-specific contribution recommended for SDRFs. For financial year 2018–19, the Central government transferred Rs 9658 crore as its share. For the 'Post Devolution Revenue Deficit Grants' for states, recommended by the Finance Commissions to take care of the uncovered gap in the budgets post devolution, the Centre transferred Rs 34,582 crore in 2018–19.

In all, Rs 93,704 crore of Central government funds were transferred to states in 2018–19 under various schemes of non-discretionary transfers. This amounted to 4.5 per cent of the gross tax revenues of 20.80 lakh crore of the Central government in 2018–19. Together, with tax transfers of 36.6 per cent and grants transfer of 4.5 per cent, the Central government transferred 41.1 per cent of the gross tax collected.